



South Africa market story review

Agreed scope and work programme

Durban and the Lesedi catchment

7 October 2026

Scope signed off | Analysis pending

Photo source: Royal Vopak | Terminal Durban | vopak.com

Strictly Confidential



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The agreed review connects market evidence to Vopak's investment opportunity

Scope signed off on 7 October 2026 | Analysis and investment conclusions remain to be completed

Story stage	Question to answer	Required output
Situation	How have South African fuel demand and domestic supply developed?	Historical exhibits and an evidence audit covering six themes.
Complication	Which trends could persist or reverse, and where do constraints arise?	Four explicit complications, supported by scenario levers.
Resolution	What is Vopak's share in Durban and the Lesedi catchment? Is further investment justified?	Current and scenario shares, capacity headroom and conditional investment conclusions.

Demand history needs a stronger economic and vehicle-use explanation

Situation | Working hypotheses to verify; existing coverage to audit

Theme	Evidence and exhibit	Work required
Growth and investment	Petrol/diesel volumes alongside real GDP, fixed investment, FDI and confidence.	Test the view that volumes were broadly flat over the past decade; explain COVID and recovery. Separate economic weakness from structural change. structure do we mean - decline in manufacturing - what about headwinds in agriculture - and what do we mean by economic weakness
Fuel prices and EVs	Fuel-price history and paths linked to EV purchase prices and fuel/electricity running costs.	Existing price assumptions need an ownership-cost exhibit. Distinguish geopolitical shocks from sustained changes; calibrate adoption response. Geopolitical shocks - okay how do we distinguish? Adoption response - this is key, right, for EVs?
Vehicle efficiency	OEM historical and expected consumption rates by segment; fleet growth and replacement.	Translate new-vehicle gains through fleet turnover and real-world use. Show the net fuel effect of fleet size, mileage and efficiency; separate EV switching.

Power and freight need evidence that translates activity into diesel volumes

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Situation | Establish separate baselines before introducing scenario levers

Theme	Evidence and exhibit	Work required
Eskom diesel	Annual diesel volumes and expenditure alongside EAF and diesel generation.	Align periods and plant coverage. Verify the proposed relationship between improved EAF and lower diesel use; obtain consumption rates.
Power-system plans	Fleet retirement/decommissioning and replacement wind, solar and gas commissioning plans.	Record timing, capacity and delivery uncertainty. Keep Eskom and non-Eskom diesel demand separate.
Road and rail freight	Historical payloads by corridor and commodity; road/rail network overlay and planned rail capacity.	Verify the cited Transnet ambition of 250 Mt by 2030. Confirm the roughly four national road corridors; identify transferable freight, haul distances and net diesel effects.

The domestic supply timeline must include Secunda and Mossgas

— SCR block

Situation | Extend existing refinery and import coverage into one integrated supply exhibit

Coverage	Evidence required	Exhibit treatment
Conventional refineries	Operating status, production, capacity and major changes over time.	Retain the refinery timeline; distinguish nameplate capacity from actual product output.
Secunda	Production trajectory, operating challenges and petrol/diesel yields.	Add time-series annotations or a callout showing the implications for liquid-fuel supply.
Mossgas / PetroSA	Plant-specific shutdown dates, operating status and lost fuel production.	Distinguish stopped production from permanent closure; verify the status before labelling.
Imports	Existing import series reconciled with domestic production and demand.	Show changing import dependence; do not attribute every import increase to lost local supply.

Transport shifts could weaken historical support for petrol and diesel demand

— SCR block

Complication 1 | Economic recovery may be partly offset by structural changes

Change to test	Scenario levers	Demand translation
Road freight returns to rail	High / medium / low rail recovery by corridor; capacity delivery, utilisation and transferable freight. The Durban corridor rail and road will be contested and of interest to Vopak - transnet annual statements and current network statement v4 have this information	Estimate displaced road tonne-kilometres and fuel, allowing for additional diesel rail traction.
EV adoption accelerates	EV purchase-price declines, fuel/electricity costs and fleet replacement.	Link ownership economics to adoption; distinguish temporary price shocks from sustained incentives.
Vehicles become more efficient	Efficiency gains by segment, real-world adjustment, mileage and fleet turnover.	Apply gains to incoming cohorts; avoid double counting vehicles already shifted to EVs.
Growth improves or stalls	GDP, sector activity and investment outcomes. sector activity of interest to us is mining and agriculture and aviation	Treat growth as a common scenario assumption. Avoid adding FDI/confidence multipliers on top of the same GDP effect.

L / M / H describes the level of each input; it does not automatically indicate the direction of total fuel demand.

Power-system recovery could persist or reverse

SCR block

Complication 2 | Keep power and load shedding as a standalone scenario question

Scenario driver	Levers to test	Implication to quantify
Sustained recovery	Higher or sustained EAF and fewer fleet breakdowns.	Whether lower diesel generation can persist, and how much historical demand support unwinds.
Availability setbacks	Lower EAF, outages and major fleet breakdowns.	Additional residual generation needs and feasible diesel dispatch.
Retirement before replacement	Earlier decommissioning; delayed wind, solar or gas capacity and commissioning.	The timing and scale of any supply gap; installed capacity alone is not dependable generation.
Eskom and private response	Diesel generation availability, fuel consumption and operating constraints; non-Eskom response.	Estimate Eskom diesel and backup/self-generation separately. Do not equate Eskom diesel dispatch directly with load shedding.

Domestic fuel supply could recover or contract further

SCR block

Complication 3 | Production changes alter import requirements for a given demand level

Supply uncertainty	Levers to develop	Evidence or definition needed
Major refinery restart	Restart timing, commissioning ramp-up, utilisation and petrol/diesel yields.	Confirm the facility and proposal; distinguish ambition, financed commitment and achievable output.
Secunda production	Gas-related production improvement, availability and product allocation.	Clarify the intended gas driver and substantiate its effect on output. Test any diversion away from liquid fuels.
Natref's future	Continued operation, investment, utilisation or reduced output.	Establish the operating outlook, required investment and credible alternatives.
Import consequences	Combined domestic production paths against each demand scenario.	Quantify imports consistently. Diversion away from fuel production constrains domestic supply, not end-user demand.

Competing corridors could change how inland fuel demand is served

SCR Block

This is a sub model that should take in origin and destination and conduct like a bearability analysis (price)

Complication 4 | Compare access and delivered economics within each reachable market

Corridor	Comparison needed	Levers and output
Durban	Road and rail costs, capacity, reliability and constraints; pipeline benchmark. Okay i see the corridor question is raised here	Test route competitiveness, bottlenecks and expansion; establish the accessible inland market.
Matola / Maputo	Reachable destinations, inland logistics, border constraints, costs and capacity.	Test whether feasible routes can capture demand currently or potentially served via Durban.
Walvis Bay	Reachable markets, distances, delivered costs, transit times and capacity.	Assess where it competes credibly; do not presume all inland markets are addressable.
Combined assessment	Corridor map and comparable delivered-cost/throughput assessment.	Allocate scenario flows with physical and commercial constraints. Higher SA imports do not automatically benefit Durban or Vopak.

The resolution must quantify Vopak's share and investment headroom

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Resolution | Report Durban and the Lesedi catchment separately

This must translate into a finance forecast

Required answer	Work needed	Decision exhibit
Current market share	Define catchments, products, period and addressable-market denominator; obtain comparable Vopak throughput.	Vopak throughput / relevant market throughput. Show storage-capacity share separately if used.
Future market share	Translate demand, supply and route scenarios into accessible volumes; account for competitors and customers. This is a key data dashboard-like report for a deep dive	Market size and Vopak throughput/share by scenario; avoid double counting transfers between locations.
Capacity headroom	Compare potential throughput with usable capacity, utilisation, bottlenecks and competitor expansion.	Existing capacity versus scenario requirements; distinguish gross tankage from effective capacity.
Investment case	Assess customer commitments, commercial terms, capex and required returns. dashboard like deep dive too - investment board grade	Whether, where, when and at what scale to invest; triggers for investment, phasing or deferral.

The agreed work sequence builds evidence before scenario conclusions

Delivery | Preserve the practical sequence agreed in the review

Step	Work	Completion evidence
1. Audit	Review the existing pack, data and model against the signed-off scope.	Covered / exhibit needed / verification needed / missing data / model development.
2. Define	Resolve corridors, catchment, share denominators, restart candidate and Secunda gas driver.	Explicit definitions and recorded decisions.
3. Evidence	Close source gaps and build situation exhibits.	Sources, periods, units and limitations documented.
4. Levers	Map evidence to existing or required model functionality.	Vintaged, registered assumptions; consistent boundaries and no double counting.
5. Scenarios	Run demand, supply, imports and routing to addressable Vopak throughput.	Coherent scenario outputs with traceable assumptions.
6. Resolution	Build market-share and investment exhibits; complete relevant checks and reviews.	Conditional conclusions, open limitations and review status.

The audit must make every gap, decision and limitation traceable

Execution control | Assign owners explicitly; do not infer evidence approval from scope sign-off

Control	Required record	Resolution trigger
Evidence tracker	Story point; exhibit; source; gap; lever; owner; resolution trigger; status.	Resolve each material gap before the related assumption or exhibit is adopted.
Definitions	Four road corridors; Lesedi catchment; market-share denominator; restart facility; Secunda gas driver.	Confirm before routing, share calculations or supply-case calibration.
Model boundary	Audit current scenario wiring and the additional routing, terminal-throughput and investment work needed.	National balances alone cannot establish Vopak share. Resolve functionality before presenting quantified resolution.
Review status	Record this conversation's scope approval separately from data verification, peer review and business approval.	Evidence acceptance before adoption; technical review before reliance; commercial approval before investment.
Responsibilities	Use existing workstream responsibilities as a starting point; assign individual items during the audit.	Named owners and expiry/resolution triggers for every unresolved input or technical limitation.